Chapter Fifty-Two

Public-Sector Reforms

The 1951 turn towards the socialist pattern of society had two fundamental outcomes, as noted earlier. First, the private sector was excluded from a large economic and business space in the country by means of several policy actions: reserving most strategic, capital-intensive, natural resource, utilities and other major businesses for the public sector; putting in place a strangulating system of licence and permits to control private-sector investments in the areas permissible for it; and nationalizing private enterprises in both the real and financial sectors. Second, spinning off a large public sector to produce goods and services, most of which were of the nature of private goods with, at one point in time, almost 90 per cent of large industry investments and banking assets being in the public sector.

India took at decisive turn again in 1991 and embarked on the path of re-privatization of the economy. The exclusion of the private sector brought about by the Industrial Development and Regulation Act (IDRA) 1951, Industrial Policy Resolutions of 1948 and 1956 and Industrial Licencing Policies has been largely rolled back by now. The private sector has entered almost every real and financial sector space. The public sector still remains largely intact though in almost every industrial and financial space, its share has shrunk to less than 50 per cent. In many sectors, it has shrunk to less than 10 per cent. The re-privatization agenda initiated in 1991 is still a work in progress.

The re-privatization agenda of 2021 has two main components. One is simple and the other more complex. The second one, however, is more necessary. First, to consign the IDRA-1951 to the history books and end the